



Product Teardown

Product
Space **X**



Team - Beneath the Blush

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About Nykaa

Founded in 2012 by Falguni Nayar, Nykaa (FSN E-Commerce Ventures Ltd.) began as an online beauty and wellness portal and has since evolved into a powerful omnichannel beauty and fashion retail platform with strong content-led engagement



Mission

To create a world where our consumers have access to a finely curated, authentic assortment of products and services that delight and elevate the human spirit.



Vision

"Bring inspiration and joy to people, everywhere, everyday."



Revenue Streams

Product Sales



Nykaa Fashion



Private Label Products



B2B Services



Advertisements



Milestones

- For 2024-25, its revenue rose 24% to Rs. 7950 Crore
- Gross Merchandise Value rose 25% to Rs. 15,604 Crore, BPC being the largest contributor.
- As of FY25, there are a total of 237 stores across 79 cities.



Statistics



42 Mn+
Customer Base



8600+
Brands



62.1 Mn
Annual Orders



19 Mn
Annual Unique
Transacting
Customers



Rs. 1978
Average Order
Value in Beauty



Rs. 4609
Average Order
Value in Fashion



! Problem Statement

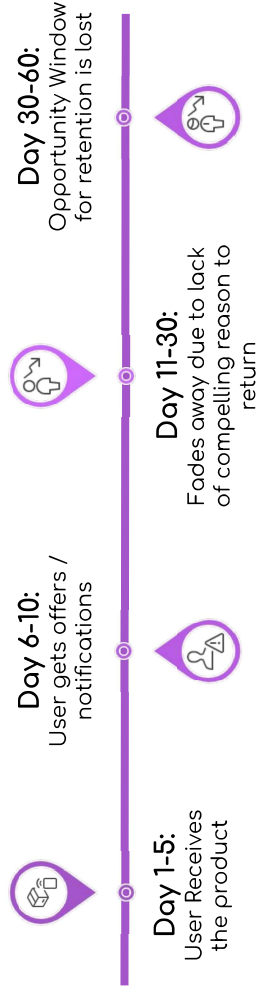
Drive higher repeat purchases and build lasting loyalty among first-time Nykaa buyers in an increasingly competitive beauty and personal care market

? What exactly is the Problem?



- Low Retention:** Customers don't return after their 1-2 purchases
- Low Engagement:** Customers aren't interacting with notifications
- Tier 2 City Gaps:** Customers from smaller cities feel bombarded with push notifications.
- Lack of Personalization:** Recommendations don't change based on past behavior or feedback.

🕒 When does this problem occur?



The issue arises after the first purchase is delivered, especially in the 7 to 30-day window, where follow-up engagement is critical.



Who are facing the Problem?

First-time buyers on Nykaa, especially Gen Z and millennial women (18-35 years) in Tier 1 and Tier 2 cities, who have made a successful first order but do not return to place a second one.



Why solve this now?

- Increase in Revenue:** Higher Retention Rate results in higher Revenue.
- Intensifying Competition:** Rise of D2C brands and direct competitors like Purplle, Tira etc.
- High Acquisition Cost, Low Retention:** Acquiring a new user is 5-7x more expensive than retaining one.
- High Expectations:** These users demand personalized, seamless, and rewarding digital experiences.



Market Analysis

- The Beauty & Personal Care market worldwide is projected to generate a revenue of **US\$677.19 Bn** in 2025.
- The market is expected to grow at an annual rate of **3.37%** (CAGR 2025-2030).
- The BPC market in India is projected to generate a revenue of **US\$33.08 Bn** in 2025.
- Nykaa has a share of **~30%** in the Indian market as of 2025
- **Online sales** are projected to contribute **38.4%** of the total revenue in the BPC market by 2025.



Key Market Growth Drivers

Rising Disposable Income & Urbanization

Boom in E-Commerce & Digital Penetration

Surge in Men's Grooming Segment

Tech-enabled Personalization

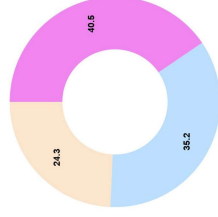
Social Media Influence



Primary Research

- **77%** of consumers say they expect personalized experiences from beauty brands
- **73%** are more likely to purchase from brands that offer AI-based product recommendations
- **85%** of beauty brands plan to use AI for engagement by 2025; **49%** already offer virtual try-ons.

Women
Men
Children / Baby Care



According to Cervicorn Consulting's global benchmark, BPC revenue share by demographic in 2024 was:

- Women: **40.5%**
- Men: **35.2%**
- Children/Baby Care: **24.3%**



The Competitors

purple

Myntra

amazon

SUGAR

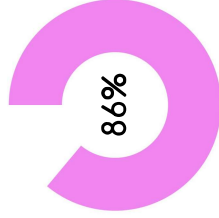
mamaearth

tira

TATA
CLIQ

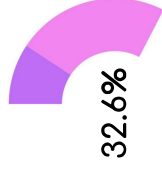
LAKMÉ

Segmentation by Age



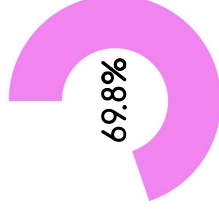
86% of the respondents were in the Age group of 17-24 years of age (Gen Z)

Segmentation by Buying Behavior



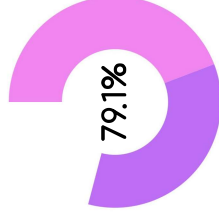
Only 9.3% users order every 2 months and 23.3% of them orders every 4 months (Frequent Buyers)

Segmentation by Geography



30 of the respondents were from Tier-1 City & 9 were from Tier-2 City

Segmentation by AOV



44.2% user's AOV is between Rs. 500-1000 & 34.9% user's AOV is Rs. 1000-2000 (Value-seeking users)

Top 5 Most Ordered Categories



Points to be Noted

- The User Research is based on 43 responses that we got in the survey.
- 51.2% of the respondents were Female meanwhile, 48.8% were Male, showing rise of interest in the market.
- However, only 32.6% being loyal and repeat customers
- Most of the users prefer Nykaa for Hot Pink Sale, Discounts & Offers and Authenticity.
- 28 out of 43 respondents prefer Amazon / Flipkart over Nykaa because of fast delivery and cheaper prices.
- 72% of the users would prefer Personalized Notifications rather than regular and general notification.

User Research

User Persona

User Journey Map

Aanya



21, College student from Bhopal. Aisha recently made her first purchase during a sale. She's experimental but budget-conscious.

Goal:

- Try trending products within a limited budget
- Discover affordable dupes of premium brands

Motivation:

- Discounts, coupons, loyalty benefits
- Social media trends and college influencers

Pain Points:

- Doesn't see the value in repeat buying from Nykaa vs. Amazon
- Doesn't revisit Nykaa unless there's a mega sale

Behavioral Pattern:

- Highly deal-sensitive
- Wants rewards and gamification to stay loyal

Sunita



26, Digital Marketer from Pune, A skincare enthusiast just starting her BPC journey,

Goal:

- Discover reliable products that suit her sensitive skin
- Make informed, confident purchases

Motivation:

- Wants to build a self-care routine
- Looks for trusted reviews and personalized suggestions

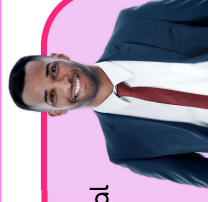
Pain Points:

- Overwhelmed by product choices
- Feels lost after first purchase — no guidance on what's next
- Uncertain about repurchasing unless there's an offer

Behavioral Pattern:

- Shops once, waits for next need or offer
- Watches reels & YouTube reviews before buying

Karan



24-year-old IT professional based in Bangalore who occasionally shops for grooming products.

Goal:

- Build a minimal routine for oily skin
- Learn what works for him without trial-and-error

Motivation:

- Wants trusted recommendations and zero-hassle ordering
- Prefers clean UI, expert tips, and fast reordering

Pain Points:

- App feels overwhelming — too "feminine"
- No guidance to buy products
- Didn't receive post-purchase support

Behavioral Pattern:

- Orders once and forgets
- Repeats purchase only if reminded or prompted



	Sign in & Home Page	Search for a Product	Check Product Details	Bag View	Payment	Order Tracking	Post delivery Experience
Actions	• Visits Nykaa • Signs up • Navigates to the home page	• Uses the search bar filters to find the product	• Reads description • View Images, Ingredients etc.	• Reviews items in the bag • Makes adjustment	• Selects coupon • Selects mode of payment • Pays amt.	• Tracks order status via app • Waits for delivery	• Uses Product, reviews, reorders
Touchpoints	• Sign up screen • Page layout • Navigation Menu	• Search bar • Category tabs • Search suggestions	• Product description • Product Images • Similar products	• Items list • Quantity • Price	• Offers • Coupons • Payment options(UPI, card) • Address box	• Track order page • Order history tab • Push notification	• Review prompt • Reorder button • Return option
Emotion							
Pain-points	• Not so Engaging • Overwhelming during sales	• Too many irrelevant options • No guided help for best match	• Ingredients not specified clearly	• No last minute personalized recommendation	• Coupon code input isn't seamless • Complex to change the mode of payment	• Limited delivery status info • No alerts for delay or issues	• Too many irrelevant notification • No reminder for reorder

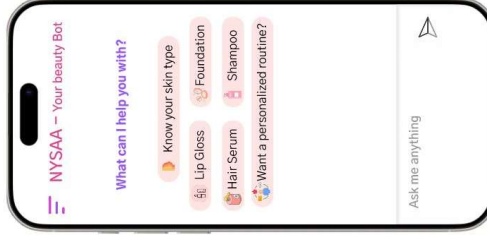
Pain point	Impact	Confidence	Ease	ICE (I + C + E)	Justification	Solution
Not so engaging homepage	5	5	5	15	UX issue that affects browsing, but not core to repeat behavior.	Put live sessions / celebrity review in the home page
Too many irrelevant product options	7	6	7	19	Men are generally less exploratory shoppers. Lack of relevance leads to drop-off.	Personalized AI curated product list
No guided help for search	9	8	5	23	Men unfamiliar with BPC need guidance. They use products that don't suit their skin and face disappointment.	AI bot - Recommends product according to your skin type / prompt
Ingredients not specified clearly	7	7	5	19	Users might abandon the product if they don't trust the ingredients. Especially true for sensitive skin/first-time users.	Detailed and concise description about ingredients
Limited delivery info, no alerts (Order Tracking)	6	7	8	21	Impacts repeat engagement and trust. Easy to fix with improved notifications.	Show real-time shipment tracking with expected date/time and alerts.

Pain point	Impact	Confidence	Ease	ICE (I + C + E)	Justification	Solution
No last-minute personalized recommendation (Bag View)	6	6	5	17	Can boost AOV (average order value), but less directly related to primary problem.	Dynamic Cart Suggestion
Too many irrelevant notifications post-delivery	7	7	8	22	Annoying push notifications dilute user trust. Improving them → higher re-engagement, relevance → more reorders.	Smart Notification Engine
No reminder for reordering	7	7	9	23	Timely reminders / subscription of a product can directly nudge repeat buying. High impact with low technical effort.	- Nykaa Refill Subscription - Timely Reminders
Complex payment flow / coupon issues	5	6	8	20	Impacts conversion directly. Friction here can cause cart abandonment.	- Display Coupon Savings Early - Simplify payment change option

NYSAA - The Beauty Bot



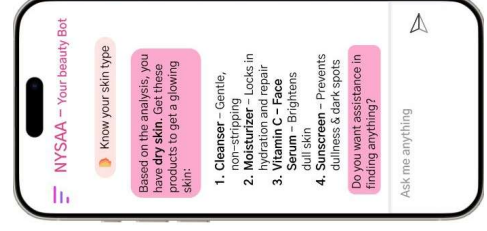
NYSAA - The beauty bot, helps the user in finding the most relevant product according to their needs in seconds.



Users can select whatever they want to know about beauty & personal care by selecting the buttons or via typing



NYSAA can scan your face and let you know about your skin. It can also suggest you measures for skincare



After analyzing your skin, it recommends you the products that are best suited for you based on your skin type, ingredients of the product, reviews of the users, etc.



Users can add the product directly to their cart and proceed with the payment. NYSAA can suggest the user a routine to get the maximum benefit out of the products

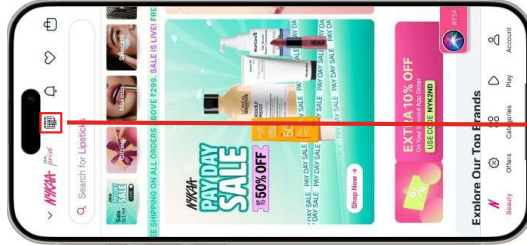
Existing behavior & pain-points

- Lack of skin knowledge leads users to buy the wrong products, resulting in dissatisfaction.
- Even if they know about their skin, they spend a lot of time comparing other products and selecting the product they desire.

Impact

- **Increase in Repeat Purchase Rate:** McKinsey reports that personalization can lift repeat purchases by up to **30%**
- **Builds Trust Faster:** First-time buyers hesitate due to lack of confidence in product suitability. AI-based personalization mimics expert advice, creating a more guided and trustworthy shopping experience.
- **Improves Post-Purchase Satisfaction:** With better product matches, users are more satisfied with outcomes — increasing their likelihood of coming back.

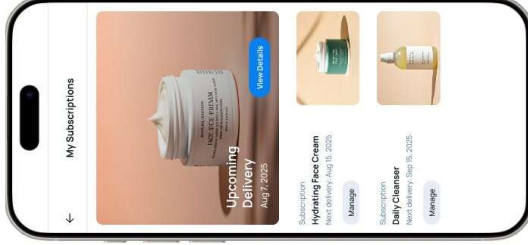
NYKAA Refill Subscription



In the homescreen, we have introduced a My Subscriptions icon where the users can manage their subscriptions



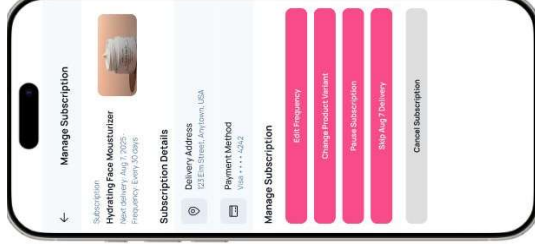
Users can subscribe to any product from the product page. They can select the frequency of reorder from here itself



In the "My Subscription" page, user can view and manage all the subscriptions.



After clicking on the View Details button on the previous screen, users can confirm the delivery or pause the refill or change the delivery date.



The users can also edit frequency, change the variant, pause it or even cancel the subscription.

Existing behavior & pain-points

- Users tend to do reorder the essentials when they run out of it, that is often inconvenient.
- Reordering involves going through search or cart again, adding friction.
- Users wait for sales/offers to repurchase, leading them to go to the platform providing best offers.

Impact

- Higher Repeat Purchases: Categories like BPC (beauty & personal care) see ~20-30% boost in repeat rate with refill models in similar ecosystems (e-g., Amazon Subscribe & Save).
- Customer Lifetime Value (CLTV): Instead of 1 or 2 orders, a subscriber might place 4-6 over the next 6 months.
- Reduced Drop-off Post 1st Order: For users opting into subscriptions post-first-order, retention in 90 days may grow from ~25% to 45%.

Personalized Notifications



Users can have a notifications section in the app where they can customize their notifications



Users can choose specific product categories & choose what type of notifications they wish to receive



Based on the previous chat history with NYSAA, as well as the preferred product categories, users get timely notifications for other products



The smart notification system sends notifications to the user remind them to refill their stock

Existing behavior & pain-points

- Users get too many unwanted, untimely sale notifications & find it annoying hence, they end up frustrated
- They don't get personalized reminders on the basis of product categories they ordered in the past

Impact

- Higher repeat purchase rates: This reduces drop-offs after the first order by keeping the experience relevant and timely.
- Improved Customer Retention & Loyalty: Smart recommendations build trust and a habit of checking the app for personal care needs.
- Increased Avg. Order Value(AOV): By recommending complementary products (e.g., a toner with a serum), the system encourages users to explore more, leading to higher cart sizes.



North Star Metric

Repeat Purchase Rate within 60 Days

Definition

The percentage of first-time buyers who make at least one additional purchase within 60 days of their initial order.

 Feature	 Metric
AI Bot Recommendations	Bot Engagement Rate: % of users who interact with the beauty bot out of total homepage/app visitors.
	Product Recommendation CTR: % of users who click on a product recommendation from the bot.
	Click-through Rate: Measures percentage of users engaging with notifications
Smart Notification Engine	Conversion Rate: Measures percentage of notification clicks leading to a purchase
	Subscription Adoption Rate: Measures percentage of users opting into auto-refill
Nykaa Refill Subscription	Subscription Retention Rate: Measures percentage of users who stay subscribed past second cycle

Thank you!!

Signing off! 🙌😊



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